

Applied Microeconomics — Master Notes

by Jakob V. Stangel

One running document for the whole course, organised by lecture (= textbook chapter). Format per lecture: **Résumé** → ★ **Heart of it** → **Key concepts** → **Section-by-section** → **Cases** → **Key terms** → **Exam pointers**. Textbook: Richard Friberg, *A Free Introduction to Microeconomics* · Lecturer: Luigi Butera (lbu.eco@cbs.dk). Exam: written sit-in, *open book, No AI*, Week 50 (9 Dec 2026).

Overview — where everything is

(Everything below is clickable.)

- **Lecture 1: Principles of Economics (Ch. 1)** — what is economics? · the three principles · opportunity cost & marginal thinking · models: positive vs normative · ★ Fun facts
- **Lecture 2: Supply and Demand (Ch. 2)** — demand & the demand function · supply & the supply function · ★ solving market equilibrium · shifts & comparative statics · price ceilings & floors · ★ Fun facts
- **Lecture 3: Elasticities & Taxes (Ch. 2 recap · §6.4)** — why elasticity? · ★ price elasticity of demand · computing & the point-elasticity trick · elastic / inelastic / unit-elastic · cross-price · income elasticity & Engel curves · supply elasticity · elasticity over time · ★ taxes: the wedge, incidence & equivalence · formula sheet · ★ Fun facts

Lecture 1: Principles of Economics (Chapter 1)

Required reading: Friberg, ch. 1 (*Introduction*).

Theme of the lecture (Butera): the "economic way of thinking" — economics studies how people allocate scarce resources among competing needs, using **three principles** (optimization · equilibrium · empiricism) and **models** (simplified, testable) to understand and predict behaviour.

★ **The heart of the chapter:** economics = doing the best you can with scarce resources. The toolkit is **three principles** — **Optimization** · **Equilibrium** · **Empiricism**; the two workhorses of optimization are **opportunity cost** and **marginal thinking**; and the method is building **positive (testable) models**, not making normative judgments. "*All models are useful, but all models are wrong.*"

The red thread. Everything starts from **scarcity** — without it we wouldn't need economics. From scarcity flows: you must **choose** (optimize) → every choice has an **opportunity cost** and is decided **at the margin** → many people choosing interact until no one wants to move (**equilibrium**) → and we test our claims about all this with **models + data** (empiricism). For any decision ask: *what's scarce · what's the best alternative given up (opportunity cost) · what does one more unit give me (marginal) · is this claim positive (testable) or normative (a value judgment)?*

Key concepts / "modes" to use

- **Scarcity** — limited resources vs unlimited wants; the reason economics exists.
- **The three principles: Optimization · Equilibrium · Empiricism.**
- **Opportunity cost** — the value of the *best alternative* you give up.
- **Marginal thinking** — decide by the value of *one more* unit; **law of diminishing marginal returns**.
- **Model** — a simplified representation of relationships between variables ("all models are wrong, but useful").
- **Positive vs normative** — a *testable* cause-effect claim vs a *value judgment*.

Section-by-section main points

| What is economics?

Core: economics = **the study of how people allocate *scarce* resources over competing needs** — "people (try to) do the best they can for themselves with what they have."

- **Scarcity of two things:** the **things we want** (goods, services, jobs, education, relationships, recognition...) *and* the **means to get them** (money, **time**, **attention**, information, patience, willpower). Air to breathe isn't scarce → not an economic question.
- Every decision is shaped by **scarcity** (can't have it all), **other people** (you're not an island), and **the rules of the game** (you can't do whatever you want).
- **How societies allocate: central planners** (someone at the top decides who gets what — parents, government) vs **markets** (value set by supply & demand — from job markets to dating markets). Economics gives tools to predict how we decide and when markets do (or don't) allocate *efficiently*.

| The three principles of economics

Core: the whole course rests on three ideas.

Principle	Meaning
① Optimization	We choose the best feasible option given our limited resources (money, time, attention, willpower are all scarce).
② Equilibrium	A situation in which no one would benefit from changing their <i>own</i> behaviour, given the choices of everyone else.
③ Empiricism	We build models → models generate predictions → we use data/experiments to test (falsify) them.

| Optimization — opportunity cost + marginal thinking

Core: to optimise, use two tools — **opportunity cost** (weigh each use against its best alternative — "apples to apples") and **marginal thinking** (what does *one more* unit give me?).

Opportunity cost = **the value of the best alternative you give up** — nothing "free" is free if it uses a scarce resource.

OPPORTUNITY COST

$$OC(\text{action}) = \text{benefit}(\text{action}) - \text{value of the best alternative given up}$$

Reads: the true cost of a choice is what it gives you **minus** what you gave up to get it. — **OC(action)** = the opportunity cost of doing it • **benefit(action)** = the gain the action delivers • **value of the best alternative given up** = the payoff of the *next-best* option you sacrificed by choosing this one.

- *Social media:* 1 hr/day on TikTok isn't free — you give up sport, study, work. Monetise the time with the hourly wage (avg **118 DKK** in Denmark):

YEARLY TIME-COST OF 1 HR/DAY ON TIKTOK

$$118 \text{ DKK/hr} \times 1 \text{ hr/day} \times 365 \text{ days} = \mathbf{43,070 \text{ DKK / year}}$$

Reads: price the time you *could* have been earning, added up over a year. — **118 DKK/hr** = Denmark's average hourly wage (i.e. the value of one hour of your time) • **1 hr/day** = the time you spend • **365 days** = a full year → **43,070 DKK** of wages forgone.

- *Trip to Berlin (worked example):* drive = 1,280 DKK & 14 h; fly = 1,930 DKK & 3 h. Flying frees **11 h** you could work:

OPPORTUNITY COST OF DRIVING INSTEAD OF FLYING

$$OC(\text{drive}) = (1,930 - 1,280) - (118 \times 11) = 650 - 1,298 = \mathbf{-648 \text{ DKK}} \Rightarrow \mathbf{\text{fly}}$$

Reads: the money you save by driving, minus the value of the time driving wastes. — **(1,930 - 1,280)** = the extra *ticket* cost of flying (650 DKK) • **(118 × 11)** = the value of the **11 hours** flying saves you, priced at the 118 DKK/hr wage (1,298 DKK) • a **negative** result means driving is **648 DKK worse** than flying → **fly**.

(Still a model — what if you enjoy the drive?)

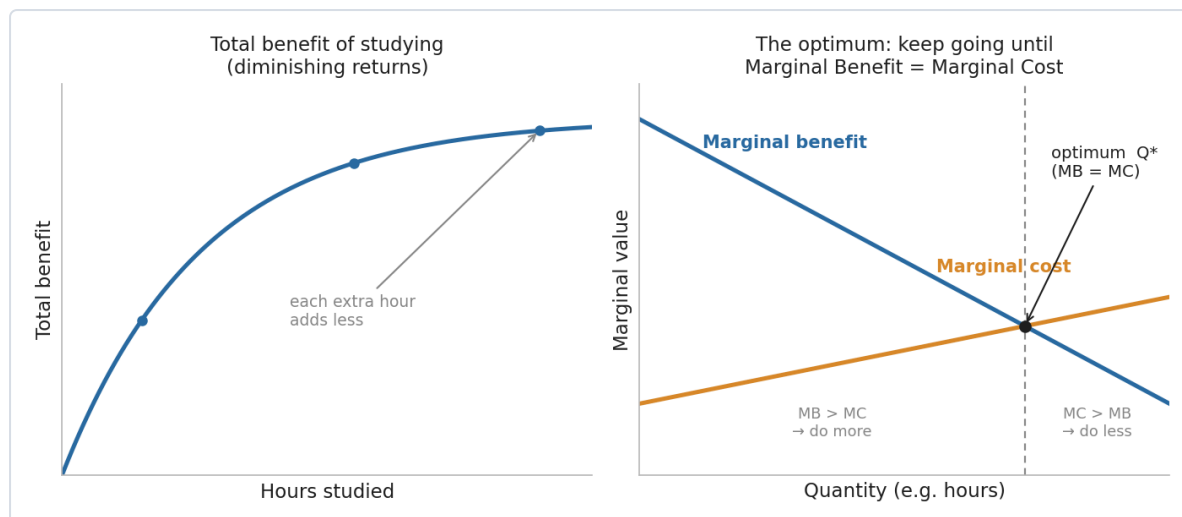
Marginal thinking: decide by the value of the **next** unit — keep going while marginal benefit exceeds marginal cost; stop where they meet. That point is the **optimum**:

OPTIMUM CONDITION

choose the quantity where **Marginal Benefit = Marginal Cost** (MB = MC)

Reads: keep going until one more unit's benefit exactly equals its cost. — **Marginal Benefit (MB)** = the *extra* benefit from **one more** unit • **Marginal Cost (MC)** = the *extra* cost of that unit • at the **optimum** MB = MC (while **MB > MC** do more; once **MC > MB** you've gone too far).

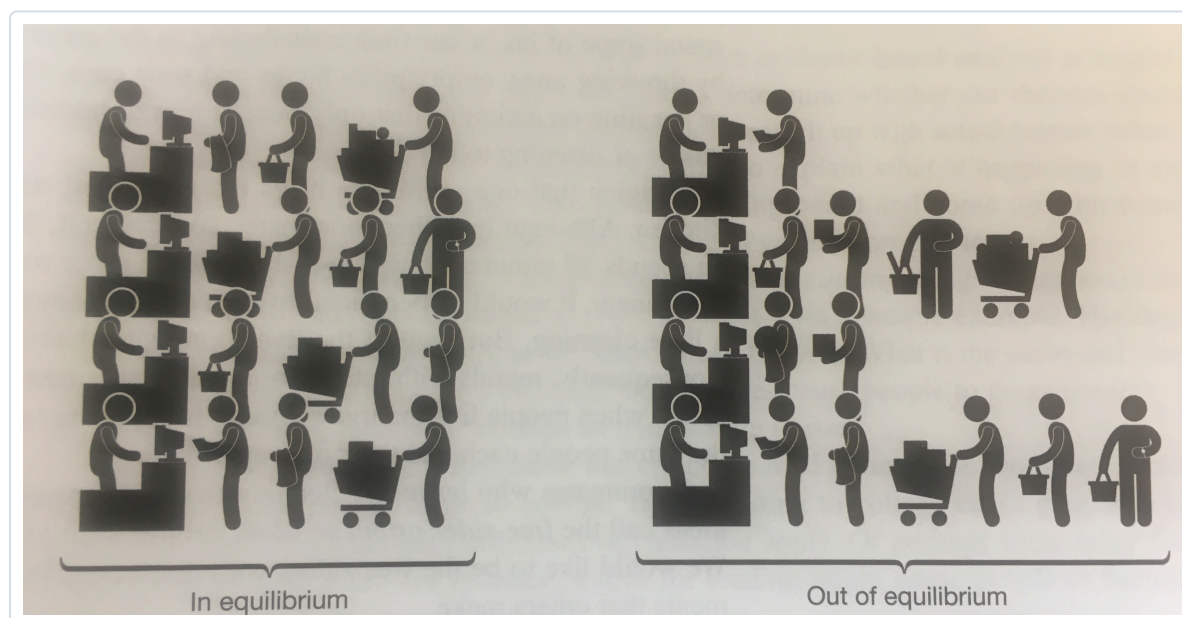
- *Night before the exam:* total benefit of studying rises then flattens; the **marginal benefit of each extra hour falls** (law of diminishing marginal returns). Optimal hours = where MB of one more hour just equals its MC.



How to read it (illustrative diagram — the graph the book draws in a later chapter). *Left*: total benefit rises but each extra hour adds less — the curve flattens (diminishing returns). *Right*: that flattening means **marginal benefit slopes down**; **marginal cost slopes up**. Left of the crossing, **MB > MC** so one more unit is worth it (*do more*); right of it, **MC > MB** (*do less*). The best you can do is the quantity where they meet — the optimum Q^* , where **MB = MC**.

Equilibrium

Core: an **equilibrium** is a resting point — given what everyone else is doing, **no individual can make themselves better off by changing their own behaviour**. Market prices are the classic example (later lectures): they adjust until quantity supplied = quantity demanded and no one wants to move.

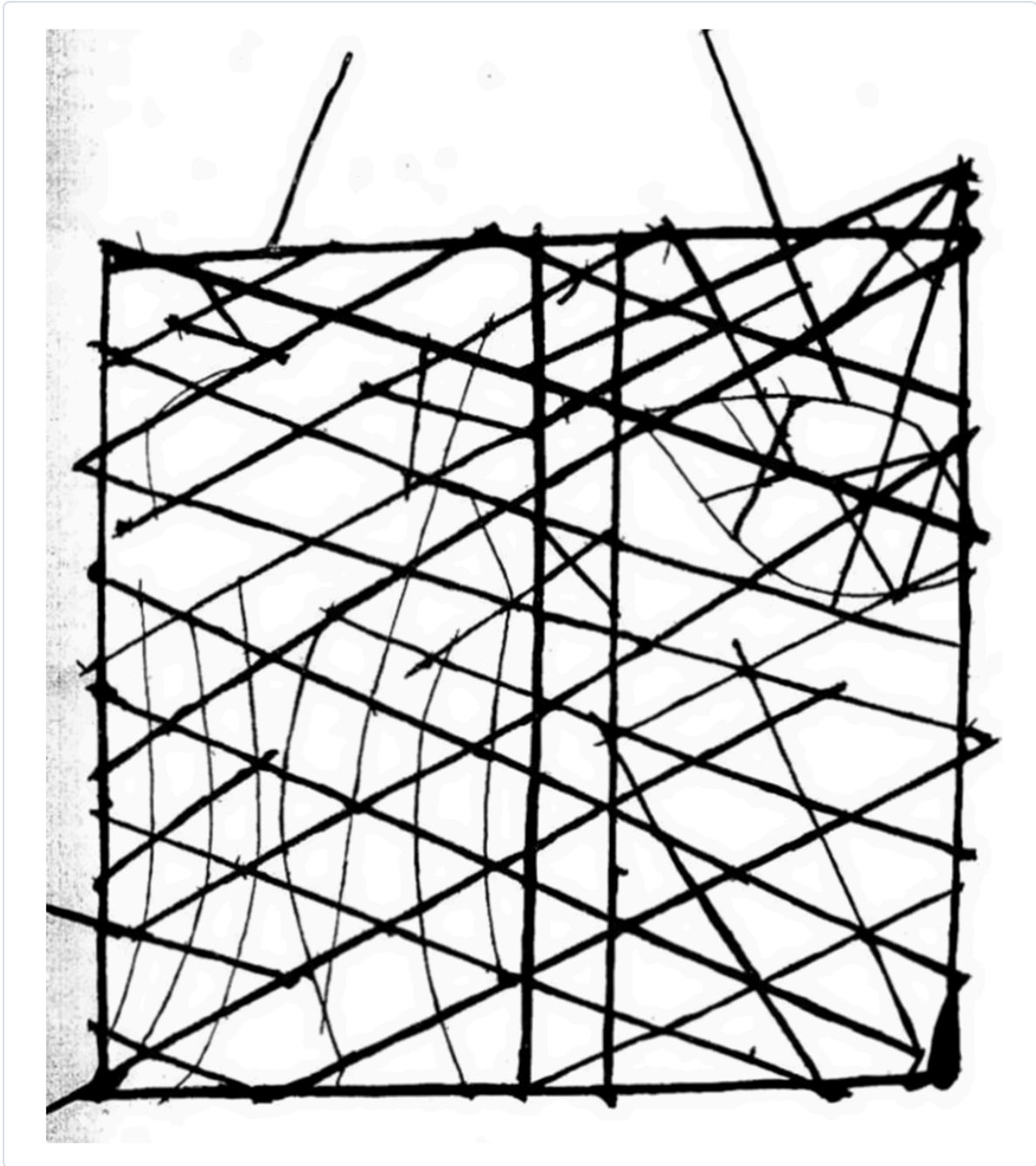


How to read it (**equilibrium = supermarket queues, from the lecture**). Each lane is a checkout; the queue length is how many people are waiting. **Out of equilibrium** (right) the lanes are uneven, so anyone in a long line can still gain by switching to a shorter one — people keep moving. **In equilibrium** (left) all lanes are equal, so **no one can do better by changing lane on their own** — that "no incentive to move" resting point is exactly what equilibrium means (and why market prices settle where supply meets demand).

Empiricism — models, and positive vs normative

Core: economics reasons with **models** and tests them against **data** — and it deals in **positive** (testable) statements, not **normative** (value) ones.

- A **model** expresses relationships between variables and makes **simplifying assumptions** (abstracts from reality). "*All models are useful, but all models are wrong*" — the art is choosing the right model (Keynes).



How to read it (Friberg Fig. 1.1 — what a "model" is). This is a Polynesian **stick chart**: sticks map the ocean's swell patterns, shells mark islands. It's not a literal picture of the Pacific — it **strips reality down to just the features you need to navigate**. That's the book's metaphor for an economic model: deliberately simplified, "wrong" as a full description, yet **good enough to steer decisions by**.

- **Positive vs normative:**

- **Positive** = a **testable/falsifiable** cause-effect claim — "*each additional Starbucks in a ZIP code is associated with a 0.5% rise in housing prices*" (Glaeser et al. 2018).
- **Normative** = a **value judgment** — "*gentrification is bad because it forces the poor out.*"
- **Economics is about positive statements**, not normative ones.
- **Correlation $\neq$ causation**: in summer people eat more ice-cream *and* drown more — ice-cream doesn't cause drowning (a hidden cause: heat). A theory is only useful if it's **empirically falsifiable**.
- **Expanding models to fit data**: "people only give to charity because they care about others' well-being" fails the data (public spending doesn't crowd out giving 1-for-1 — Andreoni 1990; people give to *inefficient* charities). So we add "**joy of giving**" (utility from the act of giving itself).

▮ Friberg's framing — allocation mechanisms (Ch. 1's example)

Core: a scarce good (e.g. **university places**) can be allocated many ways — and each has different effects on **efficiency** and **equity**. This is the book's opening illustration of "the role of economics."

- **Non-price mechanisms**: aptitude tests/interviews • secondary-school grades • open entry + hard exams • **waiting lists** • **queues** ("camp on the sidewalk") • **lotteries** • social class/legacy.
- **Price mechanisms**: everyone pays the **same fee** (set high enough to clear demand) • **auction** places to the highest bidders.
- Real systems **combine** several (fees + tests + interviews). Micro gives the tools to analyse the **trade-offs** (who gets in, how tied to parents' income, effect on effort).

Cases & examples

Each: *the example* → *the concept it teaches*.

- **1 hr/day of TikTok** → opportunity cost ($\approx 43,070$ DKK/yr at the average wage) — nothing using scarce time is free.
- **Drive vs fly to Berlin** → opportunity cost done properly: include the *value of time*, and driving turns out to *cost* 648 DKK more.
- **Studying the night before an exam** → marginal thinking + **diminishing returns**; optimise where $MB = MC$.
- **Ice-cream & drowning** → **correlation $\neq$ causation**.
- **Starbucks & house prices** (Glaeser 2018) → a **positive** statement; **gentrification "is bad"** → a **normative** one.
- **Charitable giving** (Andreoni 1990) → models must be **expanded to fit data** ("joy of giving").
- **University admissions** (Friberg) → **allocation mechanisms** (price vs non-price) and their equity/efficiency trade-offs.

Key terms

Term	Meaning
Scarcity	Limited resources vs unlimited wants — the basis of economics
Optimization	Choosing the best feasible option given constraints
Equilibrium	No one gains from changing their own behaviour, given others'
Empiricism	Build models → predict → test with data
Opportunity cost	Value of the best alternative given up
Marginal thinking	Deciding by the value of one more unit
Law of diminishing marginal returns	Each extra unit adds less than the last
Model	Simplified representation of relationships between variables
Positive statement	A testable/falsifiable cause-effect claim
Normative statement	A value judgment (good/bad, should/ought)
Allocation mechanism	Rule that decides who gets a scarce good (price/lottery/queue...)

Exam pointers

- State the **three principles** (Optimization · Equilibrium · Empiricism) and define each.
- **Compute an opportunity cost** properly (include the value of time) — the Berlin example is the model answer.
- Use **marginal thinking** + $MB = MC$ to find an optimum, and name the **law of diminishing marginal returns**.
- Classify a statement as **positive vs normative**, and remember **economics = positive**; watch for **correlation $\neq$ causation**.
- Explain why economists use **models** ("all models are wrong, but useful") and give an **allocation-mechanism** trade-off (Friberg's university example).

★ Fun facts & memorable details

Sticky lines from Lecture 1.

- Keynes: "*Economics is a science of thinking in terms of models joined to the art of choosing models which are relevant to the contemporary world.*"
- The course mantra: "*All models are useful, but all models are wrong.*"
- **1 hour of TikTok a day $\approx$ 43,070 DKK a year** in forgone wages (at Denmark's $\sim$ 118 DKK average hourly wage).

- Driving to Berlin *looks* cheaper (1,280 vs 1,930 DKK) but, once you price the 11 lost hours, it actually **costs 648 DKK more** than flying.
- "During the summer people eat more ice-cream and also drown more" — the classic **correlation-≠-causation** trap (the hidden cause is heat).
- "Joy of giving" (Andreoni 1990): we don't donate only for others' welfare — we get utility from the *act* of giving, which is why public spending doesn't crowd out private giving 1-for-1.
- Learning micro is "a first course in a new language" — a bit hard, not immediately intuitive, needs practice.

Lecture 2: Supply and Demand (Chapter 2)

Required reading: Friberg, ch. 2 (*Supply and Demand*). • Lecturer: Luigi Butera.

Theme of the lecture (Butera): build tractable models of demand and supply, then use them to find the **market equilibrium** — the price at which "no one would benefit from changing their own behaviour given the choices of others." The whole of micro is understanding that equilibrium: what sets prices and quantities, and how they move.

★ **The heart of the chapter:** a market is one picture — a **downward-sloping demand curve** and an **upward-sloping supply curve** that cross at **exactly one point, the equilibrium (p^* , q^*)**, where **quantity demanded = quantity supplied**. Three skills: ① write demand & supply as **functions**; ② set them equal to **solve for p^* and q^*** ; ③ **shift** a curve and read off the new equilibrium. *Price is set by BOTH blades of the scissors (Marshall) — never demand or supply alone.*

The red thread. For *every* question ask the one diagnostic that trips people up: **is this a *movement* ALONG a curve (only the good's own price changed) or a *SHIFT* of the whole curve (something else changed — income, other prices, costs, tastes, tech)?** Own price → slide along. Anything else → the curve moves. Get that right and the rest is algebra.

Key concepts / "modes" to use

- **Demand function** $Q_D = D(p, p_s, p_c, Y, \tau)$ → its 2-D demand curve; **inverse demand** (p as a function of q).
- **Supply function** $Q_S = S(p, p_o)$ → **supply curve**; **inverse supply**.
- **Movement along vs shift** of a curve (the core distinction); **shifters** of each curve.
- **Substitutes / complements**; **normal / inferior** goods; **Giffen** good (the rare exception).
- **Market equilibrium** $Q_D = Q_S$ → solve for p^* , q^* ; **excess demand (shortage)** / **excess supply (surplus)**.
- **Comparative statics** (shifts) & how the **slope** of the other curve sizes the effect.
- **Price ceiling / floor**; **perfect competition** assumptions; **Marshall's scissors**.

Section-by-section main points

2.1 Demand — the demand function

Core: demand answers "how much do buyers want at each price?" The **law of demand:** all else equal, **lower price → higher quantity demanded** (the curve slopes **down**).

- *In plain terms — why it slopes down:* two reasons. ① **Scarcity** — you don't have infinite money, so a lower price lets you afford more. ② **Diminishing marginal utility** — the *first* slice of pizza is worth a lot to you; the 30th almost nothing, so you'll only buy more if it's cheaper.
- **The demand function** describes quantity demanded Q_D as a function of price **and everything else**:

DEMAND FUNCTION

$$Q_D = D(p, p_s, p_c, Y, \tau)$$

Reads: how much buyers want depends on the good's own price **and** a handful of other factors. — Q_D = quantity demanded (what we're solving for) • $D(\cdot)$ = "is a function of" • p = the good's **own price** • p_s = price of a **substitute** • p_c = price of a **complement** • Y = consumers' **income** • τ = **taxes**.

- **How the 2-D curve appears** — "flush" the other variables into a constant. A demand *curve* plots Q_D against **own price only**, so you **fix** everything else at set numbers; they collapse into the intercept. The book's worked reduction — start from a specific form and plug in temperature $T=20^\circ$, substitute price $p_r=2$, income $I=5$:

COLLAPSING TO A LINEAR DEMAND CURVE

$$Q_D = 1 - p + 0.25 \cdot T + 0.75 \cdot p_r + 0.5 \cdot I = 1 - p + 5 + 1.5 + 2.5 = 10 - p$$

(intercept $a = 10$ bundles all the non-price factors)

Reads: plug fixed numbers into every non-price factor and they merge into one constant. — T = temperature ($=20$) • p_r = price of raspberries ($=2$) • I = income ($=5$); the **coefficients** (0.25, 0.75, 0.5) say how strongly each shifts demand • adding the constant pieces ($1 + 5 + 1.5 + 2.5$) gives the **intercept $a = 10$** , so only p is left as a variable → $Q_D = 10 - p$.

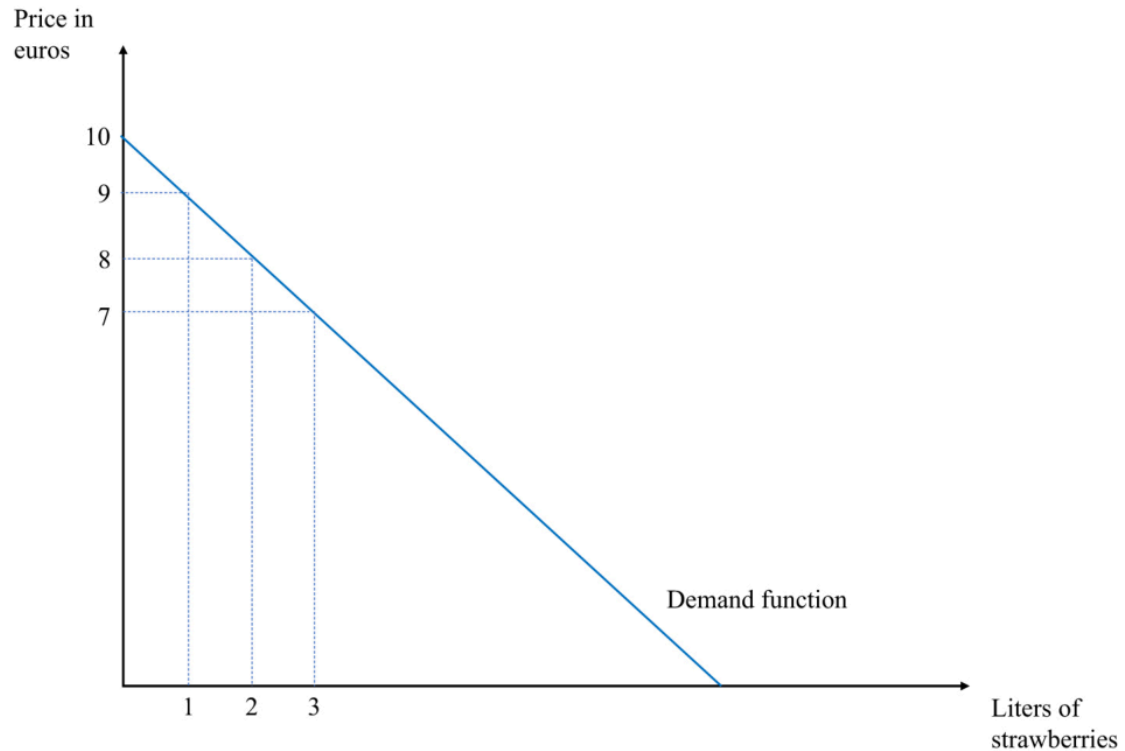
LINEAR DEMAND & ITS INVERSE (FOR GRAPHING)

$$Q_D = a - b \cdot p \rightarrow \text{e.g. } Q_D = 10 - p \text{ (} a = 10, b = 1 \text{). Solve for } p \Rightarrow \text{inverse demand: } p = 10 - Q_D \cdot \text{(deck's version: } Q_D = 20 - 2p \Rightarrow p = 10 - \frac{1}{2} \cdot Q_D \text{)}$$

Reads: a straight-line demand — quantity falls as price rises. — a = the **intercept** (quantity demanded if price were 0; it bundles income, other prices, tastes — *shift it and the whole curve moves*) • b = the **slope** (how many units demand drops per +1 in price) • p = price. The **inverse** just rearranges it to put p alone on the left, because graphs put price on the vertical axis.

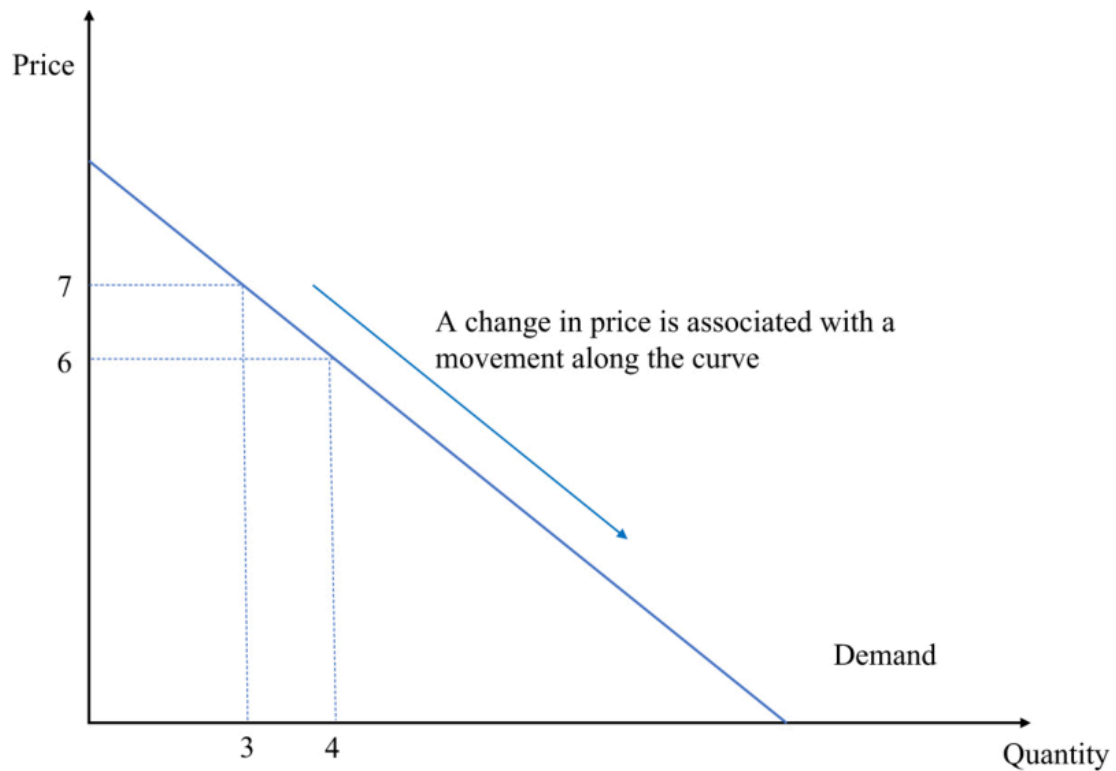
Check: $p = 7 \rightarrow Q_D = 3$; $p = 6 \rightarrow Q_D = 4$. a = the intercept (shift it and the whole curve moves); b = how many units demand falls per +1 in price.

Supply and demand



How to read it (the demand curve). By convention **price is on the vertical axis**, quantity on the **horizontal** (blame Alfred Marshall). Each point answers *both* questions: "at price p , how much is bought?" *and* "for quantity q , what's the most a buyer will pay?" Here the line hits **$p = 10$ when $q = 0$** (nobody buys above €10) and slides down to more litres as price falls.

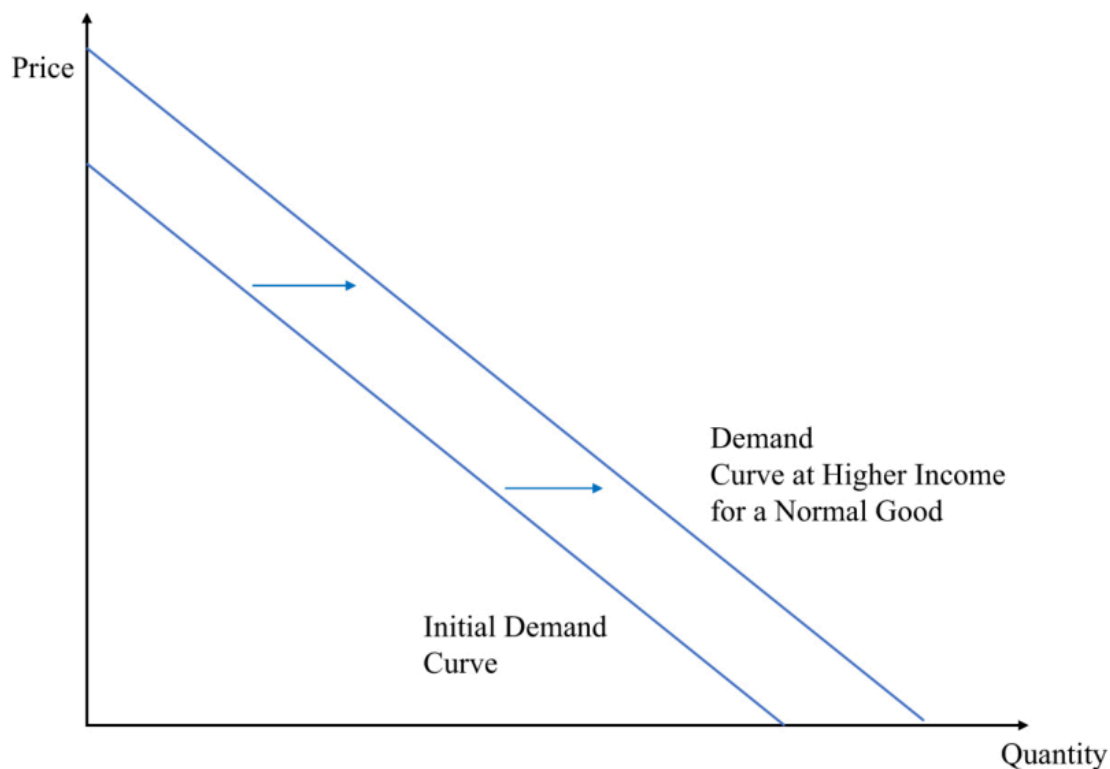
- ★ **Movement ALONG vs SHIFT — the make-or-break distinction:**
 - Own price changes → **MOVE ALONG** the existing curve (you slide to a new point).
 - Anything else changes → the whole curve **SHIFTS** (a *new* curve).



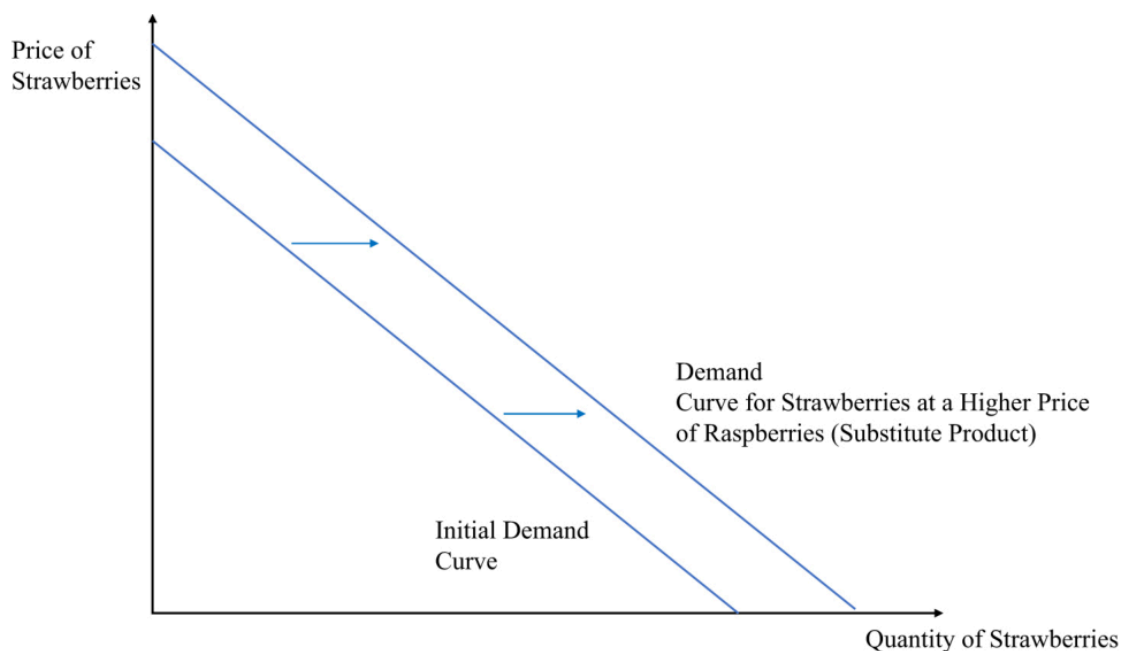
How to read it (movement along). Only the **own price** moved (7→6), so you **stay on the same curve** and just slide to a new point (q 3→4). No new curve is drawn. Contrast the shifts below, where the curve itself jumps.

- **Demand shifters** (each moves the *whole* curve = changes the intercept a):

Shifter	Direction	Why
Income ↑ (normal good)	shift out (right)	richer → buy more at every price
Income ↑ (inferior good, e.g. instant noodles)	shift in (left)	richer → buy <i>less</i> of it
Price of a substitute ↑ (raspberries ↑ → strawberry demand)	shift out	switch toward the now-relatively-cheaper good
Price of a complement ↑ (cereal ↑ → milk demand)	shift in	the pair is consumed together
Tastes / expectations (heatwave → ice-cream; COVID → toilet paper)	out or in	common-sense direction



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How to read them (shifts). The whole line moves **right (out)** = more demanded at *every* price. Fig 2.4: higher **income** (normal good). Fig 2.6: a **substitute** (raspberries) got dearer, so buyers swing to strawberries. Note you are *not* sliding along the old curve — a brand-new curve sits to the right.

- **Substitutes vs complements (definitions):** **substitutes** — demand for good 1 **rises** when good 2's price rises (raspberries ↔ strawberries). **Complements** — demand for good 1 **falls** when good 2's price rises (e.g., strawberries and jam).

price rises (milk $\leftrightarrow$ cereal).

- **From individual to aggregate demand (deck).** Market demand = **horizontal sum** of every buyer's demand — *add the quantities at each price*:

AGGREGATE (MARKET) DEMAND

$$Q(p) = q_1 + q_2 + \dots = D_1(p) + D_2(p) + \dots \text{ (add quantities across buyers at the same price)}$$

Reads: market demand = every individual's demand added up **at each price**. — $Q(p)$ = total quantity the whole market wants at price p • $q_1, q_2, \dots$ = the quantities buyer 1, buyer 2, ... each want at *that same* price • $D_1(p), D_2(p)$ = each buyer's own demand function. (It's a **horizontal** sum — fix the price, add the quantities.)

Deck example: Mike's inverse demand $p = 100 - 2q_M$, Linda's $p = 100 - \frac{1}{2}q_L \rightarrow$ invert each to $q(p)$, then add: at each price, total $q = q_M + q_L$. (Watch for a **kink** where one buyer drops out at high prices.)

- **The T-shirt trap (don't confuse products):** seeing pricey Gucci shirts outsell cheap generics is **not** an upward-sloping demand curve — those are **different goods**. A demand curve compares a good to **itself** (Gucci cutting *its own* price sells *more*). Real upward-sloping demand = the very rare **Giffen good** (Irish-famine potatoes; poor Chinese rice households — Jensen & Miller 2008).

2.2 Supply — the supply function

Core: supply answers "how much do firms bring to market at each price?" Firms are **price-takers** (they choose quantity, not the price). The curve usually slopes **up** — higher price $\rightarrow$ more supplied.

- *In plain terms — why upward:* a higher price (i) makes it worth producing more even as costs rise, and (ii) draws in higher-cost producers who couldn't profit at the low price.
- **The supply function** (quantity supplied depends on price and input/other factors):

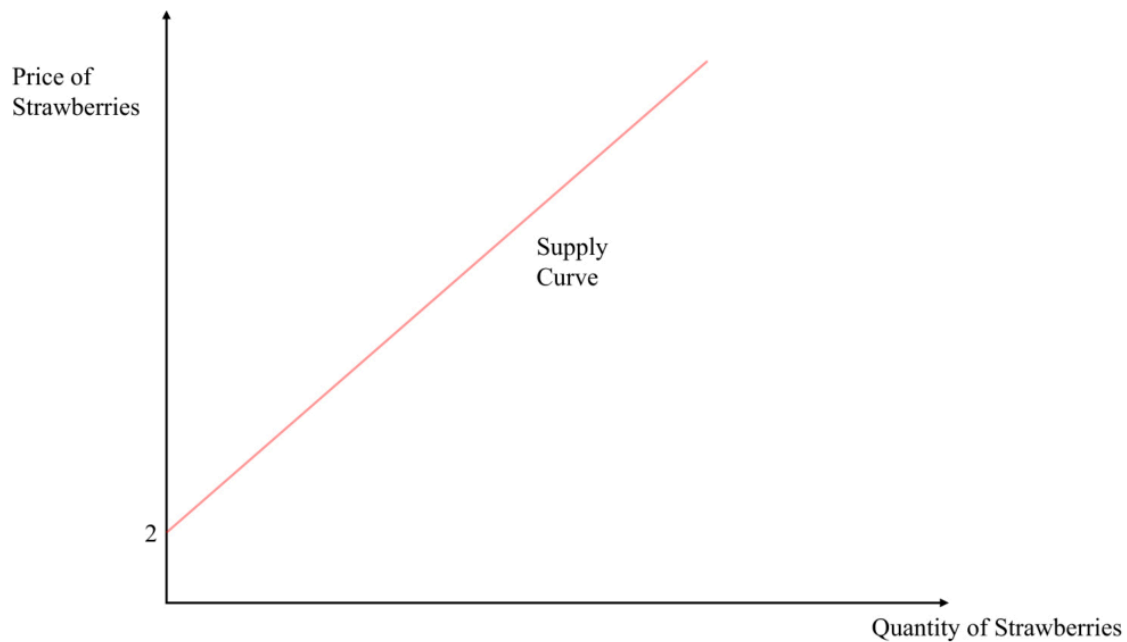
SUPPLY FUNCTION & ITS INVERSE

$$Q_S = S(p, p_o) \cdot \text{linear example: } Q_S = -2 + p \Rightarrow \text{inverse supply } p = 2 + Q_S$$

Reads: how much firms bring to market depends on the price they get and their costs. — Q_S = quantity supplied • $S(\cdot)$ = "is a function of" • p = the good's **price** • p_o = price of **inputs** (wages, materials — higher costs shift supply in). In the example the "-2" is the price-intercept read backwards: **price must exceed 2 before any is supplied** (at $p = 2, Q_S = 0$).

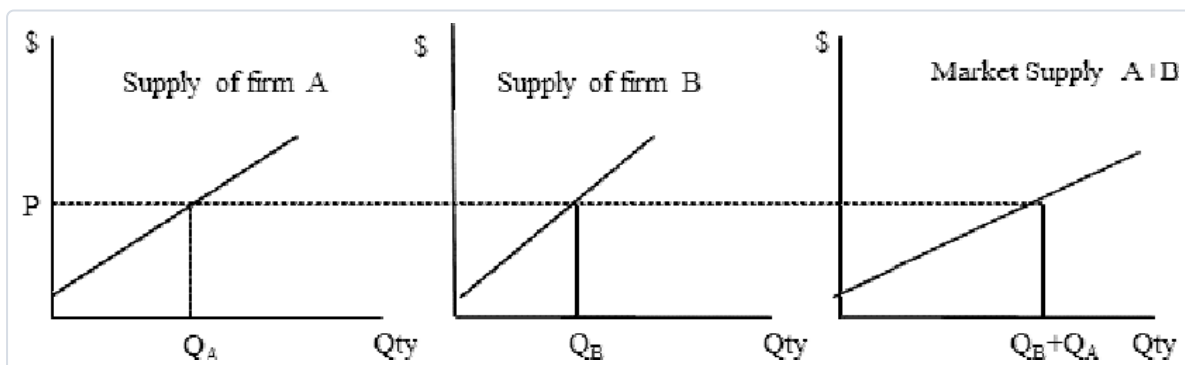
- **Why the "-2" (a negative intercept that isn't weird):** read it in **inverse** form — **price must clear €2 before any is supplied** (at $p = 2, Q_S = 0$). *Check:* $p = 3 \rightarrow Q_S = 1$; $p = 4 \rightarrow Q_S = 2$.

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How to read it (the supply curve). Start at the €2 **price-intercept** (below it, zero supply) and climb: each extra euro of price brings one more litre to market. Like demand, an **own-price** change = **move along**; anything else = **shift**.

- **Supply shifters (move the whole curve):** input/cost $\uparrow$ (wages, transport) $\rightarrow$ shift **in** (need a higher price for the same quantity); **cheaper inputs / new tech / more sellers / market opens to foreign suppliers** $\rightarrow$ shift **out**; **disruptions** (strikes, extreme weather, mine closures) $\rightarrow$ shift **in**.
- **From individual to aggregate supply (deck):** market supply = **horizontal sum** of each firm's supply — add quantities across firms at each price.



How to read it (aggregate supply). At any price P , read each firm's quantity off its own curve (Q_A , Q_B) and **add them across** — the market curve is the sum, so it's **flatter** (more responsive) than any single firm's.

★ 2.3 Market equilibrium — solving for p^* and q^*

Core: equilibrium = the **one price where quantity demanded = quantity supplied** ($Q_D = Q_S$), the **market-clearing price** — no shortage, no glut, nobody wants to move. **This is the calculation to master.**

- The recipe (memorise these three steps):

STEP 1 — SET DEMAND = SUPPLY

$$Q_D = Q_S \Rightarrow 10 - p = -2 + p$$

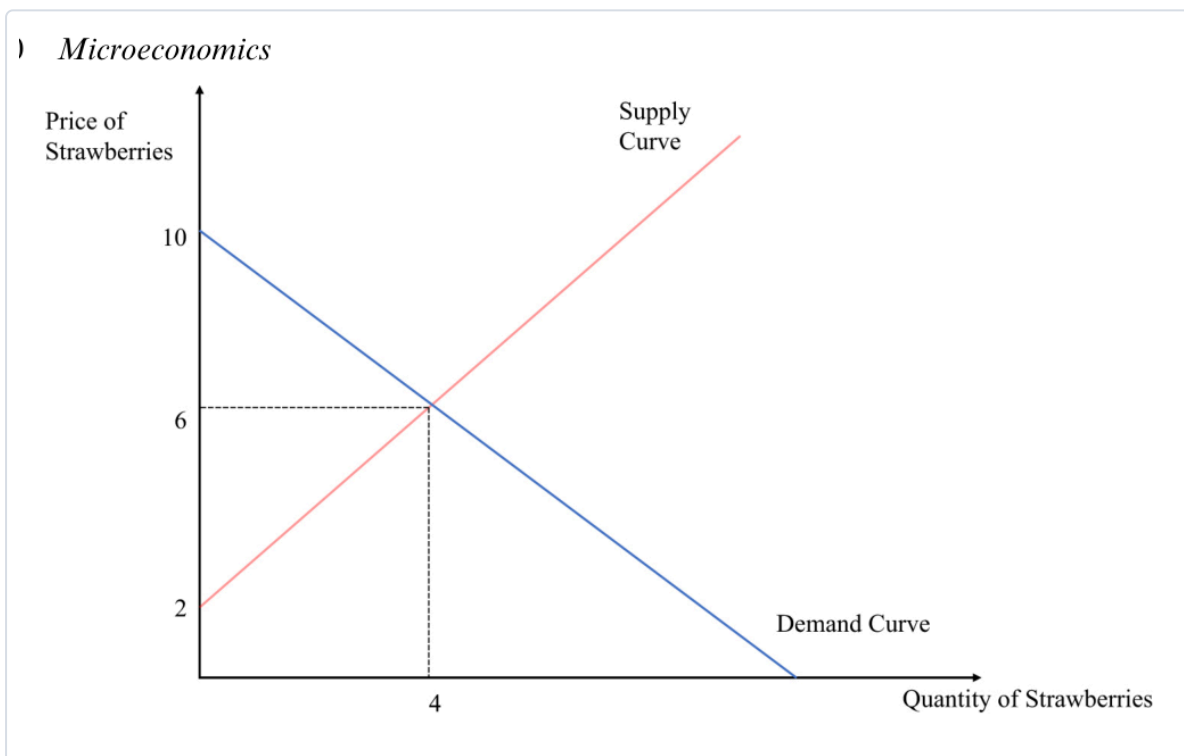
STEP 2 — SOLVE FOR THE EQUILIBRIUM PRICE P^*

$$10 + 2 = p + p \Rightarrow 12 = 2p \Rightarrow p^* = 6$$

STEP 3 — PUT P^* BACK INTO EITHER CURVE FOR Q^*

$$Q^* = 10 - 6 = 4 \text{ (check: } Q_S = -2 + 6 = 4 \checkmark) \Rightarrow \text{equilibrium } (p^*, q^*) = (6, 4)$$

Reads: find the price where the two plans agree, then the quantity that trades there. — Q_D = quantity demanded • Q_S = quantity supplied • setting $Q_D = Q_S$ solves for p^* = the market-clearing **price**; substituting p^* back into either curve gives q^* = the **quantity** traded. The star (*) just marks "equilibrium value." (Both curves must give the *same* q^* — that's the $\checkmark$ check.)



How to read it (equilibrium). The **crossing point** is the only place the two plans agree — buyers want exactly what sellers offer (4 litres at €6). Everywhere else, one side is frustrated and price gets pushed toward the cross.

- **Off-equilibrium: excess demand & excess supply** (this is also *exactly* how you handle price controls below):

EXCESS DEMAND (SHORTAGE) – PRICE BELOW P^*

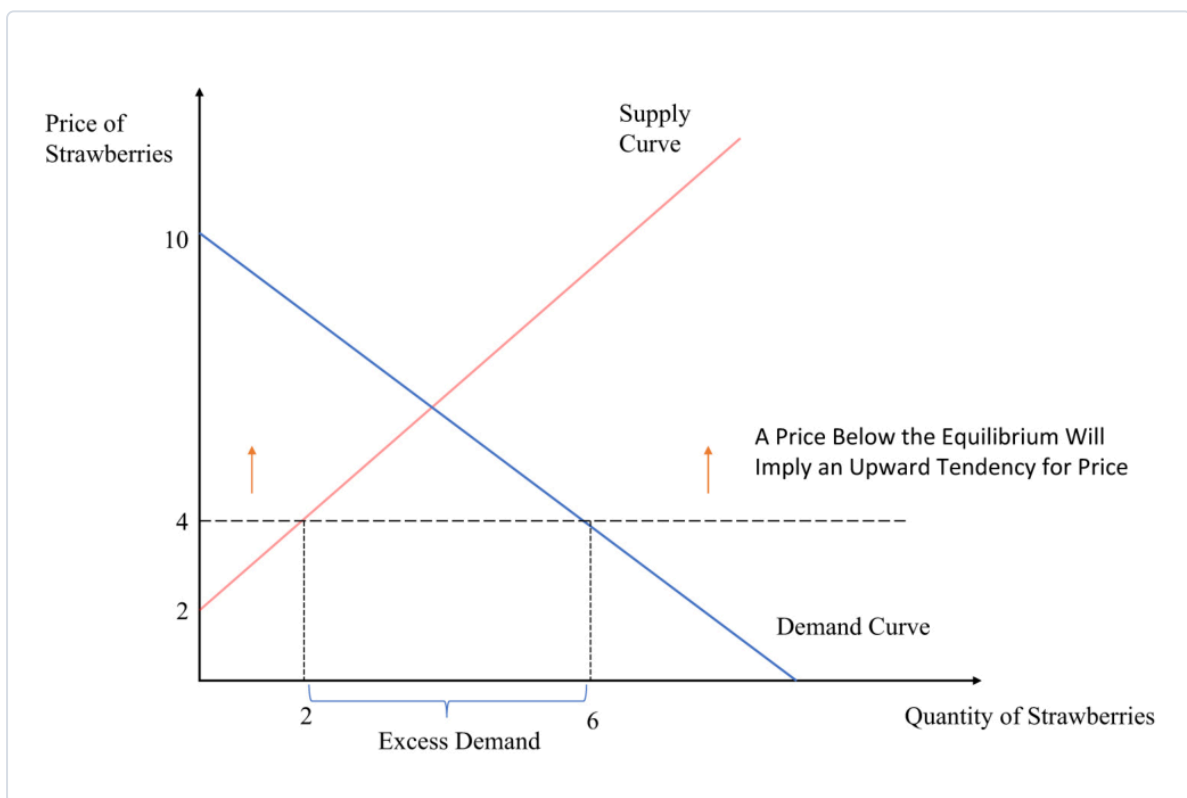
at $p = 4$: $Q_D = 10 - 4 = 6$, $Q_S = -2 + 4 = 2 \Rightarrow \text{shortage} = Q_D - Q_S = 4 \rightarrow$
upward pressure on price

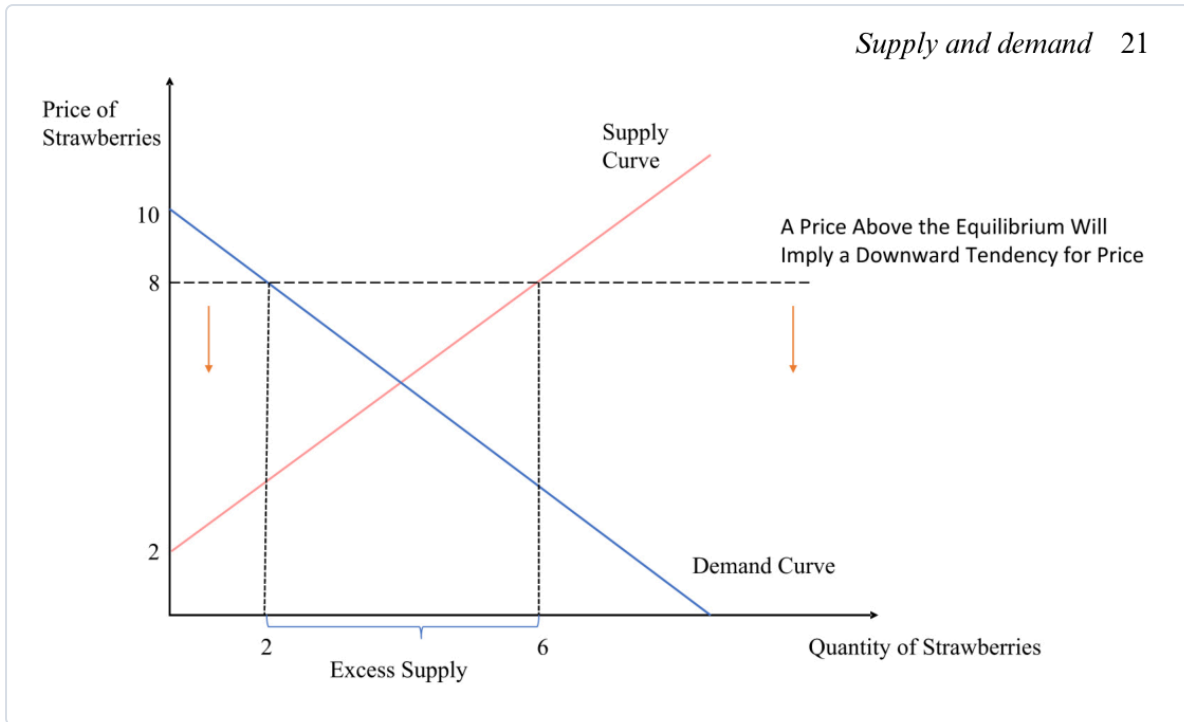
Reads: below equilibrium, buyers want more than sellers will supply. — plug the low price ($p = 4$) into **both** curves $\rightarrow Q_D = 6$ wanted, $Q_S = 2$ offered; the gap $Q_D - Q_S = 4$ is the **shortage**, which pushes the price **up** toward p^* .

EXCESS SUPPLY (SURPLUS) – PRICE ABOVE P^*

at $p = 8$: $Q_D = 10 - 8 = 2$, $Q_S = -2 + 8 = 6 \Rightarrow \text{surplus} = Q_S - Q_D = 4 \rightarrow$
downward pressure on price

Reads: above equilibrium, sellers offer more than buyers want. — plug the high price ($p = 8$) into **both** curves $\rightarrow Q_S = 6$ offered, $Q_D = 2$ wanted; the gap $Q_S - Q_D = 4$ is the **surplus**, which pushes the price **down** toward p^* .





How to read them. Pick the off-equilibrium price, drop a vertical line, and read **both** curves: the **horizontal gap** between them is the shortage (demand side wider) or surplus (supply side wider). The gap is what pushes price back toward p^* .

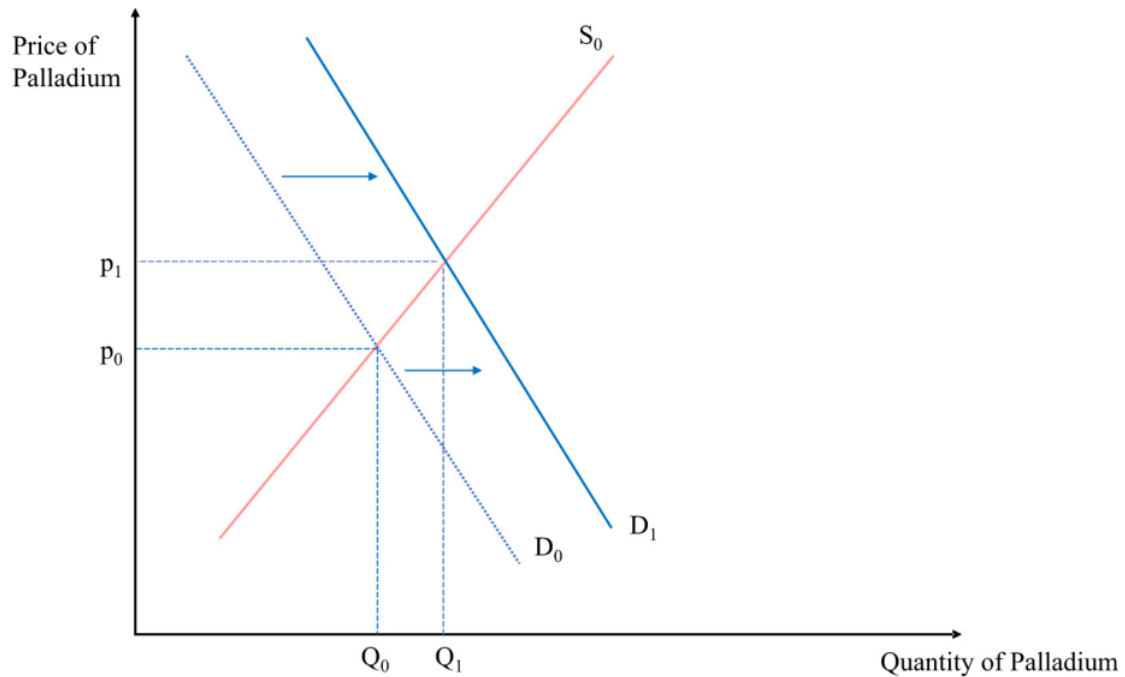
- **Marshall's scissors:** asking whether *demand or supply* sets the price is like asking *which blade of a scissors cuts* — **both do**. This dissolves the **diamond–water paradox**: water is cheap not because it's little wanted but because it's **abundant in supply**; diamonds are dear because they're **scarce**.
- (Who actually "sets" the price if everyone's a price-taker? The theoretical **Walrasian auctioneer** — and **Vernon Smith's 1962 experiments** showed real people reach the equilibrium price fast.)

2.4 Shifts in the equilibrium — comparative statics

Core: to analyse any shock, **don't jump to price/quantity**. First figure out **which curve moves and which way**; the effect on p^* and q^* follows.

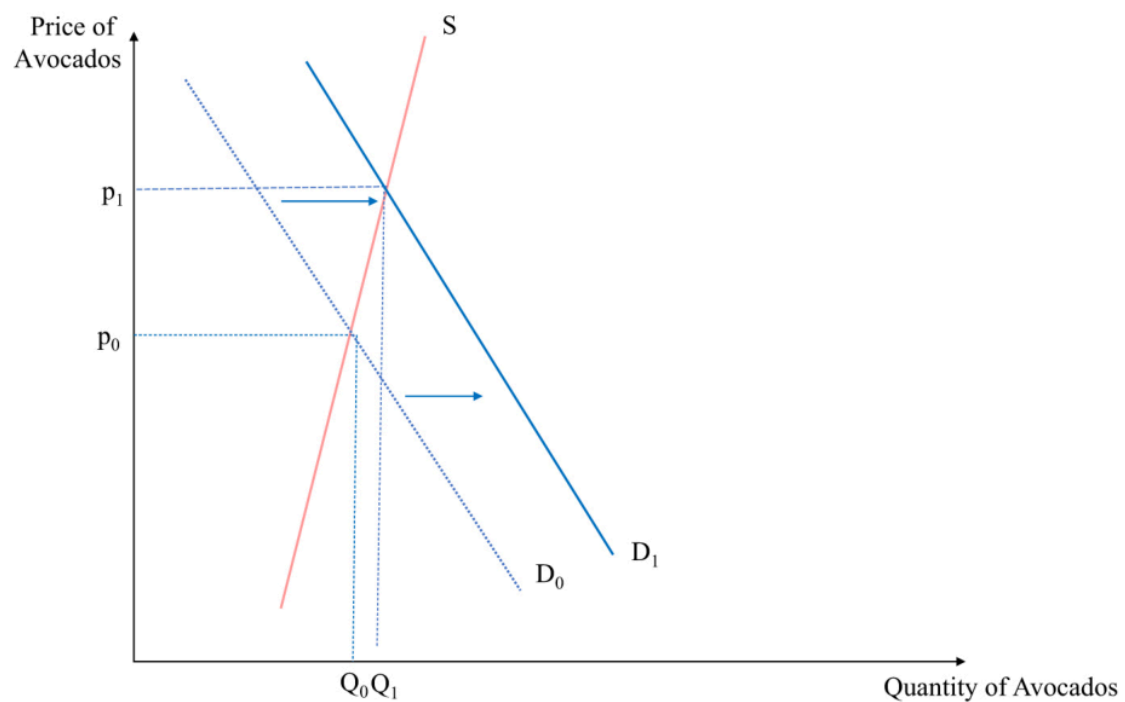
- **The method (Butera/Marshall — one change at a time, *ceteris paribus*):** ① Demand or supply? (falling incomes/other-good prices → demand; input costs/disruptions → supply). ② **Which direction** does it move *at a given price*? ③ *Then* read the new crossing. ④ **Reminder:** a *shift* is not a movement along — so a demand shift giving **both** higher price **and** higher quantity does **not** break the law of demand.

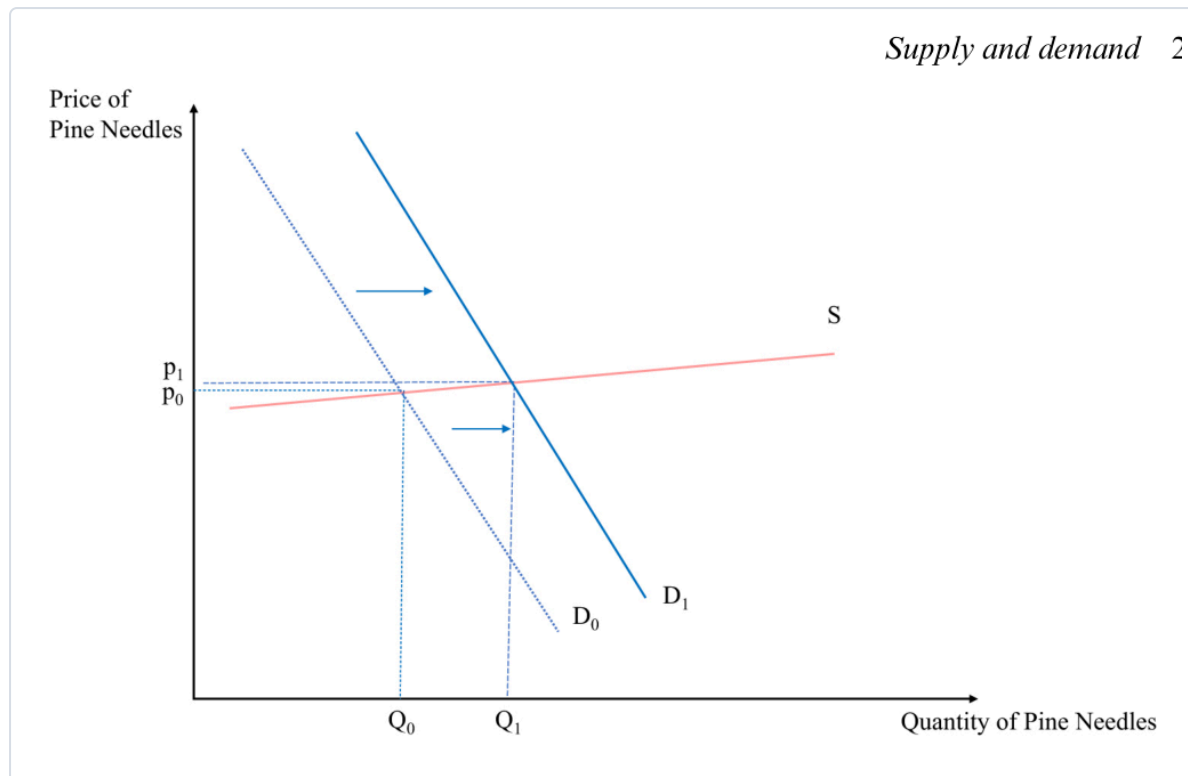
Supply and demand



How to read it (a demand shock). Demand shifts **out** ($D_0 \rightarrow D_1$); supply is unchanged, so producers **move along** supply to the new cross — **both p and q rise**. (Add a simultaneous supply **fall** and price rises *unambiguously*, but the **quantity effect becomes ambiguous** — it depends which shift is bigger.)

- ★ **Slope decides the *size* of the effect.** A demand shock's impact depends on the **slope of the supply curve**:





How to read them. Same outward demand shift, opposite results. **Steep supply** (avocados — trees take years, stock is fixed short-run): price jumps, quantity barely moves. **Flat supply** (pine needles — anyone can gather more): quantity jumps, price barely moves. *The flatter the other curve, the more a shock shows up as quantity; the steeper, the more it shows up as price.*

Price ceilings & floors — when the government fixes the price (deck)

Core: a **binding price control** stops the market clearing, and you find the resulting gap with the **exact excess-demand/supply calculation above** — just set p to the controlled price.

- **Price ceiling** = a legal **maximum** (e.g. **rent control**). To bind it must be **below p^*** , so $Q_D > Q_S$ → a **shortage** (queues, waiting lists, black-market resale). *Compute:* plug the capped p into both curves; shortage = $Q_D - Q_S$.
- **Price floor** = a legal **minimum** (e.g. the **minimum wage** in the labour market). To bind it must be **above p^*** , so $Q_S > Q_D$ → a **surplus** (unsold goods; in the labour market, **unemployment** — more people want to work than firms will hire). *Compute:* surplus = $Q_S - Q_D$.
- **The trade-offs (positive, not normative): ceilings** — **pro:** keep essentials affordable for the less-well-off; **con:** shortages, quality decline, and markets "find a way around" (rent control can even be **regressive**; Venezuela's caps produced empty shelves). **floors** — **pro:** a living wage; **con:** firms substitute **capital for labour** (self-checkout at Føtex), cut hours, or make jobs temporary. "Good economics generates **positive** statements — evidence on costs and benefits — to inform the **normative** political choice."

Is the model realistic? — perfect competition (deck)

Core: the supply-demand model assumes **perfect competition** — "every model is wrong, but useful."

- **Assumptions:** ① every agent is a **price-taker**; ② goods are **homogeneous** (perfect substitutes — one farm's wheat = another's; Shell petrol = Exxon petrol); ③ **perfect information** about prices/quality; ④ **low transaction costs**; (and many buyers & sellers). **Break these** and you need refinements — **monopoly, market failures** (later chapters).

Cases & examples

Each: *the example* → *the concept it teaches*.

- **Strawberries (the running example)** → the whole toolkit: $Q_D = 10 - p$, $Q_S = -2 + p$, equilibrium (6, 4), and the €4/€8 shortage/surplus.
- **Diamond–water paradox** → price is set by **supply and demand** (Marshall's scissors), not usefulness — water's cheap because it's abundant.
- **Palladium** (tighter emission rules → catalytic-converter demand ↑; S. African mine disruptions → supply ↓) → **comparative statics** with one and two curves moving.
- **2008 world rice spike & Haiti riots** (India's export ban cut supply; panic stockpiling shifted demand out) → a real **double shift**; prices later fell as stockpiles released + the financial crisis hit demand.
- **Instant noodles** → **inferior good**; **raspberries** → **substitute**; **cereal & milk** → **complements**.
- **Giffen goods** (Irish-famine potatoes; poor Chinese rice households) → the rare **upward-sloping demand** exception.
- **COVID toilet-paper stockpiling** → an **expectations** shift of demand.
- **Avocados vs Swedish pine-needle tea** → **steep vs flat supply** sizing a demand shock.
- **Rent control / Venezuela** → **price ceiling** → **shortage**; **minimum wage** → **price floor** → **surplus** (unemployment).

Formula sheet — quick reference

Object	Formula	Note
Demand function	$Q_D = D(p, p_s, p_c, Y, \tau)$	many variables; curve fixes all but p
Linear demand / inverse	$Q_D = a - b \cdot p / p = (a - Q_D)/b$	a = intercept (shifters), b = slope
Supply function / inverse	$Q_S = -2 + p / p = 2 + Q_S$	negative intercept = min price to supply
Aggregate (market)	$Q(p) = \sum D_i(p) ; \sum S_i(p)$	horizontal sum (add quantities)
Equilibrium	set $Q_D = Q_S \rightarrow p^*$, then q^*	the market-clearing point
Excess demand (shortage)	$Q_D - Q_S$ at $p < p^*$	→ upward price pressure; price ceiling
Excess supply (surplus)	$Q_S - Q_D$ at $p > p^*$	→ downward pressure; price floor

Exam pointers

- **Solve a market from scratch:** given a linear demand and supply, **set them equal**, get p^* , back-substitute for q^* — the strawberry case ($p^*=6$, $q^*=4$) is the model answer.

- Compute a **shortage/surplus**: plug a below- or above-equilibrium price into *both* curves and take the gap ($Q_D - Q_S$ or $Q_S - Q_D$) — and know a **ceiling**→shortage, **floor**→surplus.
- Diagnose movement vs shift, and for a shock say **which curve moves, which way**, and the effect on p^* & q^* (incl. the **ambiguous-quantity** double-shift and the **slope** point).
- Explain **why demand slopes down** (scarcity + diminishing marginal utility) and **Marshall's scissors** / the diamond–water paradox.
- Name the **perfect-competition** assumptions and why the model is still "useful though wrong."

★ Fun facts & memorable details (Lecture 2)

Sticky bits from Supply & Demand.

- **Marshall's scissors**: asking whether demand or supply sets the price is like asking **which blade of the scissors** does the cutting — both do.
- The **diamond–water paradox** is only a paradox if you forget supply: water is life-or-death yet cheap **because it's abundant**.
- **Giffen goods** really exist: when their staple got dearer, poor Chinese rice households bought **more** rice, not less (Jensen & Miller 2008) — they could no longer afford anything else.
- A negative supply intercept ($Q_S = -2 + p$) isn't a mistake — it just means **price must top €2 before anyone supplies a drop**.
- **Vernon Smith** won a Nobel (2002) for showing that real people in a lab **converge on the equilibrium price** startlingly fast — the "Walrasian auctioneer" made flesh.
- Rent control's dirty secret: it can be **regressive** and spawn black-market "key money" — a "tale of good intentions" (cf. Venezuela's empty shelves).
- Minimum wage as a price floor nudges firms toward **capital over labour** — the **self-checkout at Føtex** is a supply-and-demand diagram in the wild.

Lecture 3: Elasticities & Taxes — the Supply & Demand model II (Ch. 2 recap · §6.4)

Required reading: Friberg, §6.4 Elasticities (own-price, cross-price, income; supply elasticity) — building on the **Chapter 2** supply-and-demand model (see [Lecture 2](#)). *The lecture deck also teaches taxes on goods & services — that part draws on the textbook's §7.5 (unit tax, tax incidence), covered here because the deck foregrounds it.*

Theme of the lecture (Butera — from the deck, titled "*Supply and Demand model*"). Chapter 2 taught us to **move the curves around**; this lecture adds **precision**. The *"shape"* of a demand or supply curve — its elasticity — *decides how much a shock (or a tax) shows up as a change in price versus a change in quantity*. The deck's

three goals: (1) understand what demand & supply **elasticities** mean, (2) **derive** them from demand/supply curves, and (3) use them to analyse the **effects of taxes**.

★ **The heart of the lecture: elasticity = % responsiveness** — "by what % does quantity change when price rises 1%." It's a **unit-free** number that summarises a curve's **shape**, so it's comparable across markets and time. The **shape decides how a shock splits into price vs quantity**: with **inelastic** demand a shock/tax hits **price**; with **elastic** demand it hits **quantity**. And a **tax** drives a **wedge** between the price buyers pay and sellers receive — **who bears it depends on the relative elasticities**, and (in perfect competition) **it doesn't matter who is legally taxed**.

The red thread. For any market ask: *how responsive is quantity to price (elastic or inelastic)?* — because that single question answers **how a supply shock moves the market**, **how a firm should price**, and **who really pays a tax**. Elasticity is the "shape" number that ties all three together.

Key concepts / "modes" to use

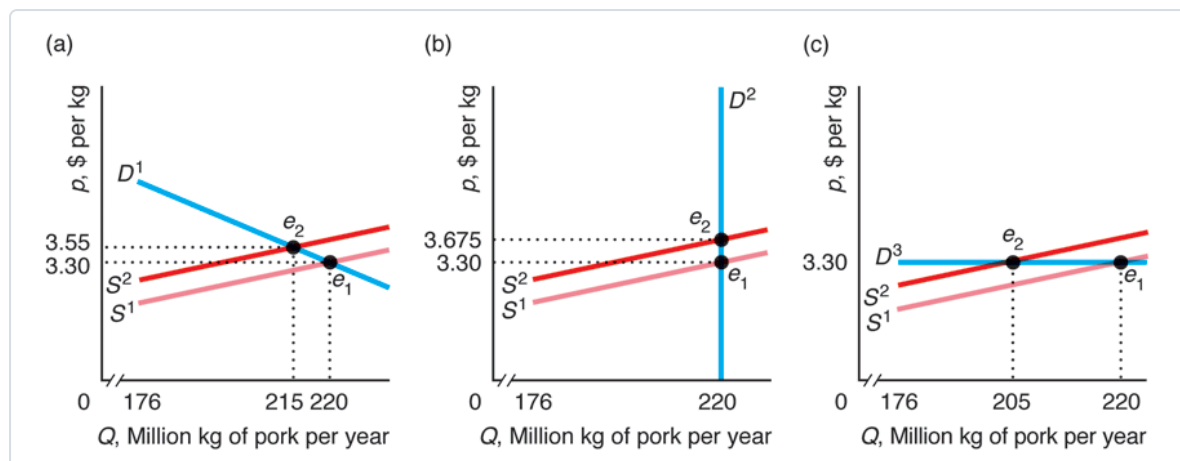
- **Elasticity** — the % change in one variable ÷ % change in another (a unit-free number).
- **Price elasticity of demand (E_D)** — % change in quantity demanded ÷ % change in own price (negative).
- **Elastic / inelastic / unit-elastic** — $|E| > 1$ / $|E| < 1$ / $|E| = 1$.
- **Point-elasticity trick** — $E_D = (dQ/dp) \cdot (p/Q)$; on a linear curve elasticity **changes along the curve** (constant-elastic curves don't).
- **Cross-price elasticity** — substitutes (+) vs complements (-).
- **Income elasticity** — normal (+) vs inferior (-); **Engel curves / Engel's law**.
- **Supply elasticity** — % change in quantity supplied ÷ % change in price (positive).
- **Tax wedge & tax incidence** — $p_b = p_s + t$; who bears the burden depends on **relative elasticities**; legal $\neq$ economic incidence; unit vs ad-valorem tax; **deadweight loss**.

Section-by-section main points

Why do we care about elasticity? (deck)

Core: the **shape** of demand/supply curves determines **how much a shift in one moves the equilibrium** — and "shape" is summarised by **elasticity**. A steep (inelastic) curve and a flat (elastic) curve respond to the *same* shock very differently.

- **The motivating questions (deck):** Do "**sin taxes**" (cigarettes, sugar) hurt the poor? Why do firms **raise prices** even when it looks crazy (Netflix, Amazon Prime)? To what extent are **taxes on producers "passed on"** to consumers? Every answer runs through elasticity.
- **The visual intuition:** how far a **supply shift** moves price vs quantity depends entirely on the **slope/elasticity of demand** — see the figure below (perfectly inelastic demand → only price moves; perfectly elastic demand → only quantity moves).



How to read it (why elasticity matters). All three panels apply the **same supply shift** $S^1 \rightarrow S^2$. The **only thing** that differs is the **demand curve's shape**:

- **(a) Ordinary downward-sloping demand:** the shock splits into **both** a higher price *and* a lower quantity.
- **(b) Perfectly inelastic demand (vertical):** quantity can't respond, so the shock lands **entirely on price** ($3.30 \rightarrow 3.675$). *This is the "necessity with no substitutes" case.*
- **(c) Perfectly elastic demand (horizontal):** price can't move, so the shock lands **entirely on quantity** ($220 \rightarrow 205$).
- **Take-away:** the **more inelastic** the demand, the more a shock (or tax) shows up as **price**; the **more elastic**, the more it shows up as **quantity**. *This one picture is the whole reason we measure elasticity.*

★ Price elasticity of demand — definition

Core: the **price elasticity of demand** measures how sensitive quantity demanded is to the good's own price — the **% change in quantity** ÷ **% change in price**. It is a **pure (unit-free) number** and is **negative** (demand slopes down: price up $\rightarrow$ quantity down).

PRICE ELASTICITY OF DEMAND

$$E_D = (\Delta Q / Q \times 100) \div (\Delta p / p \times 100) = \% \Delta Q \div \% \Delta p$$

Reads: how responsive quantity demanded is to a price change — "a 1% rise in price p leads to an E_D % change in quantity q ." — $\Delta Q / Q \times 100$ = the **percentage change in quantity demanded** · $\Delta p / p \times 100$ = the **percentage change in price** · E_D = the ratio (a **unit-free number**, **negative** for a normal good). The $\times 100$ s cancel, so it's just **% ΔQ over % Δp** .

- **Why unit-free matters (the point of the whole concept):** raw slopes aren't comparable — "1,000 tons less rice" means something different in **Vietnam** vs **Bhutan**, and depends on the currency. A **percentage measure** is **comparable across markets, currencies and time**.
- **Why negative:** demand curves slope **down**, so ΔQ and Δp have opposite signs $\rightarrow$ the ratio is negative. (When people say a "higher" elasticity they usually mean a bigger **absolute value** $|E_D|$.)

Computing elasticity — and the point-elasticity trick

Core: plug the two percentage changes into the formula. On a linear demand curve the elasticity is *not* constant — it depends on *where* you evaluate it, via $E_D = (dQ/dp) \cdot (p/Q)$.

- **Simple example (textbook Table 6.2):** quantity falls $6 \rightarrow 4$ while price rises $1 \rightarrow 2$. Then

WORKED — SIMPLE EXAMPLE

$$E_D = ((4-6)/6) \div ((2-1)/1) = (-2/6) \div (1) = -1/3$$

Reads: a demand that is **inelastic** — $(4-6)/6 = -0.33$ = the % fall in quantity (-33%) $\cdot (2-1)/1 = 1$ = the % rise in price ($+100\%$) $\cdot -1/3$ = quantity falls **only** $\frac{1}{3}$ as fast as price rises $\rightarrow$ **inelastic** demand.

- **A policy-style example (soda, Allcott et al. 2019):** own-price elasticity of sugary soda ≈ -1.37 . If price rises 5%, quantity changes by $E_D \times 5\% = -1.37 \times 5 = -6.85\%$ (a $\sim 7\%$ fall). To cut demand 15%, price must rise $-15 \div -1.37 \approx 11\%$. $\rightarrow$ this is exactly the sum a policymaker designing a **soda tax** needs.
- **The point-elasticity trick (linear demand):** rewrite the formula as

POINT ELASTICITY

$$E_D = (\Delta Q / \Delta p) \cdot (p/Q) = (dQ/dp) \cdot (p/Q)$$

Reads: elasticity = **slope of the demand function** $\times$ the **price-to-quantity ratio at your chosen point** — dQ/dp = the **slope** (how many units Q changes per €1 of price; constant for a straight line) $\cdot p/Q$ = the **price-to-quantity ratio** where you evaluate it (this is what varies along the curve).

- **Worked ($Q = 10 - 2p$):** here $dQ/dp = -2$ (always). But the **elasticity varies**:
 - at $p = 2.5$ (so $Q = 5$): $E_D = -2 \times 2.5/5 = -1$ (**unit elastic**).
 - at $p = 4$ (so $Q = 2$): $E_D = -2 \times (p/Q) = -2 \times 4/2 = -4 \rightarrow$ **elastic**. ($\triangle$ The textbook misprints this as $-2 \times 2/2 = -2$ — it accidentally puts $Q=2$ in the numerator instead of $p=4$; the correct p/Q is $4/2 = 2$, so $E_D = -4$.)
 - **The pattern: demand is more elastic at higher prices** — at $p=2.5$ it's unit-elastic (-1), at $p=4$ it's elastic (-4). A fixed unit change is a bigger *percentage* change when Q is small and p is large.
- **Constant-elasticity demand (contrast):** the form $Q = a \cdot p^\epsilon$ has the **same** elasticity ϵ at *every* price (used in empirical estimation via $\ln Q = \ln a + \epsilon \cdot \ln p + \text{error}$). So: **linear** $\rightarrow$ **elasticity changes along the curve**; **constant-elastic** $\rightarrow$ **it doesn't**.

Elastic, inelastic, unit-elastic — and why it matters

Core: we name the ranges of elasticity, and each has a sharp economic meaning for **how supply shocks split into price vs quantity**. | Name | Level (of E_D) | Meaning | Curve looks... | |---|---|---|---| | **Inelastic** | $-1 < E_D < 0$ ($|E| < 1$) | % ΔQ **smaller** than % Δp | relatively **steep** | | **Unit elastic** | $E_D = -1$ | % ΔQ **equals** % Δp | — | | **Elastic** | $E_D < -1$ ($|E| > 1$) | % ΔQ **bigger** than % Δp | relatively **flat** |

- **Why it matters (the punchline):** with **inelastic** demand, **supply shocks translate into big price changes** (little quantity response) — critical for e.g. **cocoa** growers in Ghana/Côte d'Ivoire (world cocoa elasticity ≈ -0.19 to -0.96 ; policy point estimate -0.34). With **elastic** demand, shocks translate into **quantity** changes.
- **What makes demand elastic — substitutes.** The single biggest driver is **availability of close substitutes**: pharmaceuticals with few substitutes are **inelastic** (people pay whatever for a needed medicine); goods with many substitutes are **elastic**.
- **Aggregation level matters:** a *specific brand* is more **elastic** than the *category* (more substitutes for one brand). US beer: **product-level** median elasticity ≈ -4.74 , but beer **overall** ≈ -0.60 .

Cross-price elasticity — substitutes vs complements

Core: the **cross-price elasticity** measures how demand for good **A** responds to the price of a *different* good **B** — and its **sign** tells you the relationship.

CROSS-PRICE ELASTICITY

$$E_{cross} = \% \Delta Q_A \div \% \Delta p_B \rightarrow > 0 = \text{substitutes} \cdot < 0 = \text{complements}$$

Reads: how the quantity of **A** responds to a price change in **B** — $\% \Delta Q_A$ = percentage change in demand for good A · $\% \Delta p_B$ = percentage change in the price of good B · **sign: positive → substitutes** (Heineken dearer → more Carlsberg bought), **negative → complements** (phones dearer → fewer phone cases). *The larger the positive value, the closer the substitutes.*

- **Why it's used:** gauging **competitive pressure** and evaluating **mergers** (competition authorities ask how closely two products substitute). (*Deck aside: cross-price elasticity of cigarettes & alcohol ≈ -1 — strong complements, Krauss et al. 2014.*)

Income elasticity — normal vs inferior goods, Engel curves

Core: the **income elasticity** measures how demand responds to **income** — its **sign** distinguishes **normal** from **inferior** goods.

INCOME ELASTICITY

$$E_{income} = \% \Delta Q \div \% \Delta I \rightarrow > 0 = \text{normal good} \cdot < 0 = \text{inferior good}$$

Reads: how quantity demanded responds to an income change — $\% \Delta Q$ = percentage change in quantity · $\% \Delta I$ = percentage change in income · **sign: positive → normal** (demand rises with income), **negative → inferior** (demand falls as income rises — e.g. instant noodles, store-brand goods).

- **Nuance:** a good can be **normal at low incomes and inferior at higher ones** (hostels for a student: more nights as income rises, then switch to hotels). Tastes vary by person.
- **Uses:** long-term **projections** (healthcare, appliances in low-income countries) and predicting the **business cycle** (pharma is income-insensitive → **"defensive stock"**).

- **Engel curves / Engel's law (Ernst Engel, 1800s Prussian statistician):** plot demand (vertical) against income (horizontal) — **positive slope for normal goods, negative for inferior. Engel's law:** the share of income spent on food *falls* as income rises → the income elasticity of food is **less than 1**.

Supply elasticity — same principle

Core: the **price elasticity of supply** measures how sensitive quantity *supplied* is to price — same formula, but **positive** (supply slopes up).

PRICE ELASTICITY OF SUPPLY

$$E_S = \% \Delta Q_S \div \% \Delta p \quad (\text{positive})$$

Reads: how responsive quantity supplied is to a price change — $\% \Delta Q_S$ = percentage change in quantity supplied · $\% \Delta p$ = percentage change in price · E_S = the ratio (**positive**: higher price → more supplied). A **steep** supply curve is **inelastic** (hard to expand output quickly); a **flat** one is **elastic**.

Elasticity over time — short run vs long run

Core: demand (and supply) are usually **more elastic in the long run** than the short run, because people have **more time to adjust / find substitutes**.

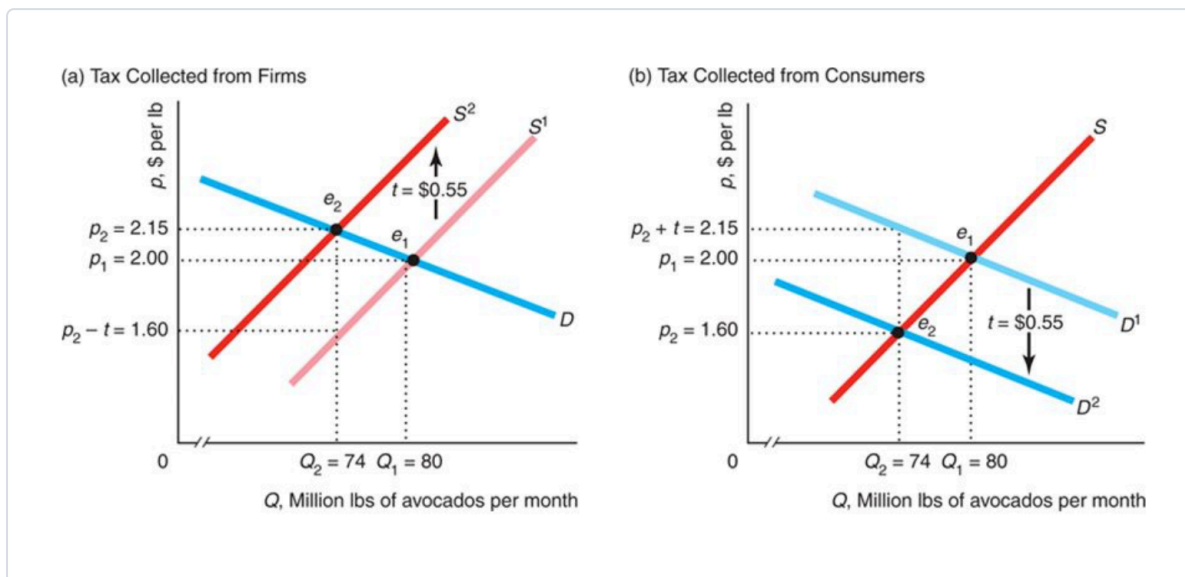
- **Electricity (Labandeira et al. 2017):** ≈ -0.24 short-run vs -0.6 long-run — over time consumers buy more efficient equipment, change habits.
- **The deck's cases:** a drop in gas prices does little in the short run but more in the long run; likewise **computers**. *Exam framing:* "in the short run demand is inelastic (people are locked in); given time they substitute, so long-run demand is more elastic."

★ Taxes on goods & services — the wedge, incidence & equivalence (deck; textbook §7.5)

Core: a tax **drives a wedge** between the price **buyers pay** (p_b) and the price **sellers receive** (p_s): $p_b = p_s + t$. It raises the buyer price, lowers the seller price, cuts the quantity traded, and creates a **deadweight loss**. The split of the burden — **tax incidence** — depends on the **relative elasticities**, and (under perfect competition) **not** on who is legally taxed.

- **Two types of tax (deck):**
 - **Unit (specific) tax** — a fixed **amount t per unit** (per litre of petrol, per cigarette).
 - **Ad valorem tax** ("sales tax"/VAT) — a **fraction α of the price/spend** (government keeps a share of each euro spent).
- **The wedge (worked unit-tax example, $t = €3$):** with $Q_D = 23 - p_b$, $Q_S = -1 + p_s/2$, and $p_b = p_s + 3$, solving gives $p_s = 14$, $p_b = 17$, $Q = 6$. Buyers pay **€3 more** than sellers receive; quantity falls from the no-tax equilibrium.
 - **Tax revenue** = $t \times Q = 3 \times 6 = €18$. The rest of the surplus lost is **deadweight loss** (here $3 \times (7-6)/2 = €1.5$) — trades that *would* have happened but now don't.

- **Legal incidence $\neq$ economic incidence (the key result).** It **doesn't matter** whether the tax is collected from **firms** (supply shifts up by t) or **consumers** (demand shifts down by t) — the quantity, the prices actually paid/received, and the DWL are **identical**. *All that matters is that the tax drives a wedge.* (Perfect-competition assumptions make this exact: no transaction costs, perfect information.)



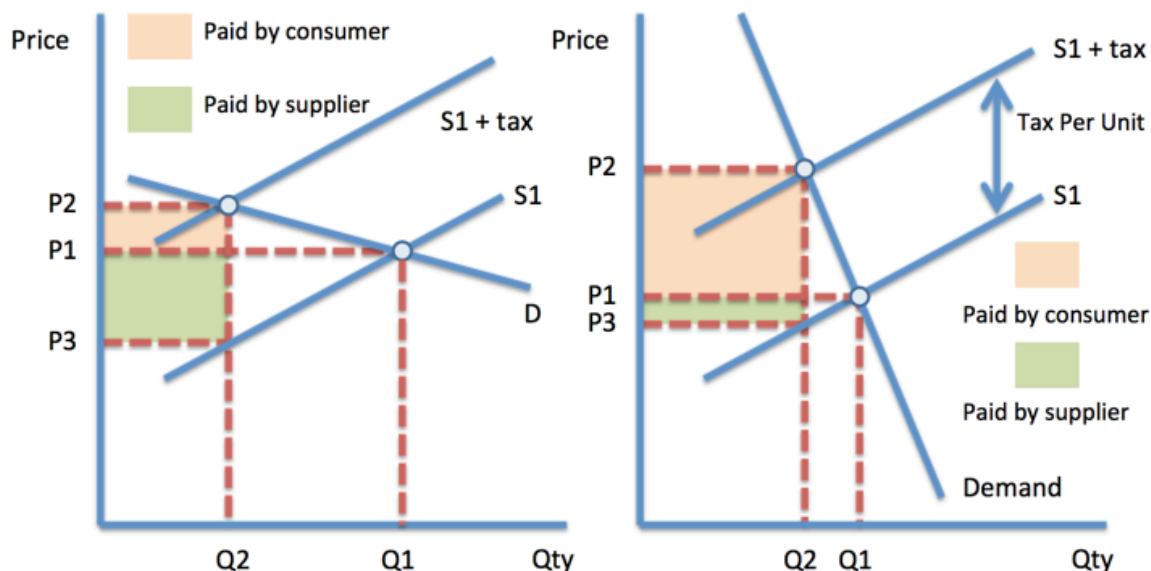
How to read it (tax equivalence). Both panels impose the **same \$0.55 tax** on avocados. (a) collects it from **firms** → the supply curve shifts **up** by t ; (b) collects it from **consumers** → the demand curve shifts **down** by t . In **both** cases the result is identical: **Q falls to 74**, **buyers pay 2.15**, **sellers receive 1.60**, and the wedge between them is exactly **\$0.55**. → *The economics doesn't care who writes the cheque.*

- **What *does* decide the split: relative elasticities.** The **more inelastic** side of the market bears **more** of the tax (it can't escape by changing quantity). The **more price-sensitive (elastic)** side is affected **less** on price, **more** on quantity.

Indirect Taxes with Different Coefficient of PED

If the co-efficient of price elasticity of demand >1 , then most of the burden of an indirect tax will be absorbed by the supplier

If the co-efficient of price elasticity of demand <1 , most of an indirect tax can be passed on to the final consumer



How to read it (incidence & elasticity). The tax raises the supply curve to $S + \text{tax}$. The **new higher price P2** is what **consumers** pay; **P3** is what **suppliers** keep. The split of the rectangle between them is the **incidence**:

- **Left — elastic demand ($PED > 1$):** consumers easily cut back, so firms **can't raise the price much** → the **supplier absorbs most** of the tax.
- **Right — inelastic demand ($PED < 1$):** consumers keep buying regardless, so the firm **passes most** of the tax through → the **consumer bears most** of it.
- **Policy take-aways:** (1) "sin taxes" on inelastic goods (cigarettes, alcohol) fall mostly on **consumers** and raise a lot of revenue with **little DWL** (quantity barely moves) — which is *why* governments like them, and why they can be **regressive** (hit the poor). (2) We **prefer taxes on inelastic bases** — they distort choices least.
- **Subsidies are the mirror image:** $p_s = p_b + s$ — a subsidy lowers the buyer price, raises the seller price, **expands** quantity above the efficient level, and also creates a **deadweight loss** (units produced that cost more than consumers value them). Its incidence, too, depends on elasticities (inelastic demand — e.g. emergency care, primary education — → small DWL).

Cases & examples

Read each as a worked use of an elasticity number (or a tax result).

- **Sugary-soda tax (Allcott et al. 2019).** Own-price elasticity ≈ -1.37 (elastic). A 5% price rise → $\sim 7\%$ fall in quantity; to cut demand 15% you'd raise price $\sim 11\%$. → *Illustrates: elasticity as the design tool for a corrective ("sin") tax.*

- **World cocoa demand.** Inelastic (≈ -0.19 to -0.96 ; policy estimate -0.34). → *Illustrates: **inelastic demand** → **supply shocks hit price**, so bad harvests swing incomes for growers in Ghana / Côte d'Ivoire.*
- **US beer — brand vs category (Miller et al. 2021).** Product-level elasticity ≈ -4.74 , category ≈ -0.60 . → *Illustrates: **aggregation** — a single brand has close substitutes (elastic), the category doesn't (inelastic).*
- **Sweden–Denmark cross-border alcohol (Asplund et al. 2007).** Swedes drive to Denmark for cheaper drink. Estimated for spirits: **own-price** -1.3 (elastic), **cross-price (Danish price)** $+0.3$ (substitute), **income** $+1.4$ (normal good). → *Illustrates: **all three elasticities at once** — own, cross, income — from real data.*
- **Electricity demand (Labandeira et al. 2017).** ≈ -0.24 short-run vs -0.6 long-run. → *Illustrates: demand is **more elastic in the long run** (time to adjust equipment/habits).*

Formula sheet — quick reference

Quantity	Formula	Sign / meaning
Price elasticity of demand	$E_D = \% \Delta Q_D \div \% \Delta p$	negative;
Point elasticity (linear)	$E_D = (dQ/dp) \cdot (p/Q)$	varies along the curve; more elastic at higher p
Constant-elastic demand	$Q = a \cdot p^\epsilon \rightarrow \ln Q = \ln a + \epsilon \ln p$	elasticity = ϵ everywhere
Cross-price elasticity	$E_{\text{cross}} = \% \Delta Q_A \div \% \Delta p_B$	+ substitutes, – complements
Income elasticity	$E_{\text{income}} = \% \Delta Q \div \% \Delta I$	+ normal, – inferior; food < 1 (Engel)
Supply elasticity	$E_S = \% \Delta Q_S \div \% \Delta p$	positive
Tax wedge	$p_b = p_s + t$	buyers pay more, sellers get less; DWL
Tax revenue	$t \times Q_{\text{taxed}}$	rectangle; rest of loss = deadweight loss
Subsidy wedge	$p_s = p_b + s$	expands Q above efficient; also a DWL

Exam pointers

- Compute an elasticity from two (p, Q) points and **name** it (elastic/inelastic/unit) — the **$-1/3$ example**.
- Use the **point-elasticity trick** $E_D = (dQ/dp) (p/Q)$ on a **linear demand** and show elasticity **changes along the curve** (more elastic at higher price).
- Give the **sign rules** for **cross-price** (substitutes/complements) and **income** (normal/inferior) elasticities, with an example each.
- Solve a **unit-tax** market ($p_b = p_s + t$) for p_b , p_s , Q , compute **revenue** and **deadweight loss** — the **$t = \text{€}3$ example**.
- State and **explain** the two big tax results: **legal $\neq$ economic incidence** (doesn't matter who's taxed) and **incidence depends on relative elasticities** (inelastic side pays more); use the **sin-tax**

application.

- Explain **why elasticity is unit-free** and why demand is **more elastic in the long run** and for **narrower product categories**.

Bridge. Lecture 3 turns the Chapter 2 model from *qualitative* ("the curve shifts left") into *quantitative* ("by how much, and split how between price and quantity"). Elasticity is also the hinge to later chapters: **firm pricing** (a monopolist's markup depends on E_D), **tax policy & deadweight loss** (Ch. 7), and **who gains from trade**.

★ Fun facts & memorable details (Lecture 3)

Sticky bits from Elasticities & Taxes.

- **It doesn't matter who you tax.** In a competitive market the burden of a tax is **identical** whether the government bills the shop or the shopper — "all that matters is that the tax drives a wedge." (This is why arguing about *who* a tax is "on" often misses the point.)
- **Why cigarette & alcohol taxes raise so much money:** demand is **inelastic**, so people keep buying — the tax is **passed to consumers** with little drop in quantity (and is often **regressive**).
- **The soda-tax number:** the own-price elasticity of sugary drinks (≈ -1.37) is a real input to real policy — a 5% price rise cuts consumption $\sim 7\%$.
- **Engel's law (1857):** the **richer** you get, the **smaller** the share of income you spend on **food** — one of the oldest empirical regularities in economics, and still used to gauge living standards.
- **Pharma = "defensive stock":** demand for medicine barely moves with income (income-inelastic), so drug companies hold up in recessions.
- **Elasticity has a time dimension:** when petrol jumps, you can't do much *this week* (inelastic), but over years you buy a smaller car and move closer to work (elastic) — the "short-run vs long-run" split.
- **Brand vs category:** demand for *a* beer is wildly elastic (≈ -4.7 — switch brands!), but demand for *beer* is inelastic (≈ -0.6) — same drink, opposite elasticity, just different zoom level.
- **Swedes really do drive to Denmark for cheap booze** — enough that economists measured the cross-border **cross-price elasticity** of spirits ($+0.3$) from the data (Asplund et al. 2007).